

Nepal Chartered Accountants Act, 1997

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NEPAL CHARTERED ACCOUNTANTS ACT, 2053

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Amending Acts

1. Nepal Chartered Accountants (First Amendment) Act, 2059 2059.3.24

Certification and Publication Date

2. Republic Strengthening and Some Nepal Laws Amendment Act, 2066 2066.10.7

3. Some Nepal Acts Amendment Act, 2072 2072.11.13

4. Some Nepal Acts Amendment to Adapt to the Constitution of Nepal Act, 2075 2075.11.19

Act No. 22 of the year 2043

An Act Made to Establish and Manage the Institute of Chartered Accountants of Nepal

Preamble: Whereas, for the economic development of the nation, it is desirable to establish and manage the Institute of Chartered Accountants of Nepal to raise public awareness regarding the importance of accounts and the economic and social responsibility of the accounting profession, to enhance social recognition and trust in relation to the accounting profession, to make accounting professionals realize their responsibility towards the accounting profession and the importance of accounts, and to develop, protect and promote the accounting profession;

Now, therefore, Parliament has enacted this Act in the twenty-fifth year of the reign of His Majesty King Birendra Bir Bikram Shah Dev. Chapter - 1

Preliminary

1. Short Title and Commencement: (1) This Act may be called the "Nepal Chartered Accountants Act, 2043". (2) Sections 29 and 49 of this Act shall come into force from the date appointed by the Government of Nepal by a notification published in the Nepal Gazette, and the other sections shall come into force immediately. 2.

Definitions: Unless the subject or context otherwise requires, in this Act,- (a) "Institute" means the Institute of Chartered Accountants of Nepal established pursuant to Section 3. (b) "Council" means the Council formed pursuant to Section 7. (c) "President" means the President of the Council. (d) "Vice-President" means the Vice-President of the Council. (e) "Council Member" means a member of the Council, and this term shall also include the President and Vice-President. (f) "Executive Director" means the Executive Director appointed pursuant to Section 38. (g) "Member" means a person who has registered his/her name with the Institute pursuant to this Act and has obtained membership of the Institute. (h) "Chartered Accountant" means a person who has obtained membership of the Institute pursuant to subsection (2) of Section 16, as amended by the First Amendment. (i1) "Fellow Chartered Accountant (F.C.A.)" means a person who has obtained

membership of the Institute pursuant to Section 17. (j) "Registered Auditor" means a person who has obtained the certificate of auditor pursuant to the Auditor Related Act, 2031. (k) "Practising Certificate" means the certificate issued pursuant to Section 28 to practice the accounting profession professionally. (l1) "Audit" means an audit conducted pursuant to prevailing law after obtaining a Practising Certificate. (l2) "Foreign Accounting Professional Institute" means a national-level chartered accountants institute or an equivalent accounting professional institute which has the authority to regulate the public accounting profession in a foreign country. (l3) "Accounting Standards Board" means the Accounting Standards Board formed pursuant to Section 15A. (l4) "Auditing Standards Board" means the Auditing Standards Board formed pursuant to Section 15D. (l5) "Accounting Standards" means accounting standards, and related directives and interpretations, established or recommended by the Accounting Standards Board to systematize and regulate the accounting profession and financial reporting. (l6) "Auditing Standards" means auditing standards, and related directives and interpretations, established or recommended by the Auditing Standards Board to systematize and regulate the accounting profession and auditing. (m) "Prescribed" or "as prescribed" means as prescribed or as provided for in the rules or regulations made under this Act.

Chapter - 2 Establishment and Management of the Institute

3. Establishment of the Institute: (1) For the development of the accounting profession, an Institute has been established by the name of the Institute of Chartered Accountants of Nepal. (2) The Institute shall be called "The Institute of Chartered Accountants of Nepal" in the English language. (3) The head office of the Institute shall be located in the Kathmandu Valley, and the Institute may, as necessary, open its training centers and branch or sub-branch offices anywhere within Nepal deleted by the Republic Strengthening and Some Nepal Laws Amendment Act, 2066.. 4.

Institute to be an Autonomous Body: (1) The Institute shall be an autonomous and corporate body with perpetual succession. (2) The Institute shall have its own separate seal for its business. (3) The Institute may, like a person, acquire, use, sell or otherwise dispose of movable and immovable property. (4) The Institute may, like a person, sue and be sued in its own name.

5. Objectives of the Institute: The objectives of the Institute shall be as follows:- (a) To fulfill the role of a regulatory body, by strengthening and developing the accounting profession for the economic development of the nation, to motivate members to practice the accounting profession within the ambit of the Code of Conduct. (b) To raise public awareness regarding the importance of accounts deleted by the First Amendment. and the economic and social responsibility of accounting professionals, and to enhance social recognition and trust in relation to the accounting profession. (c) To make accounting professionals realize their responsibility towards the accounting profession and the importance of accounts, deleted by the First Amendment. and to develop, protect and promote the accounting profession. (d) To develop the system of registration, qualification and examination of accounting professionals in accordance with international recognition and practices, in order to make the accounting profession dignified and trustworthy.

6. No Other Person to Use Name, Symbol and Rights of the Institute: After the establishment of the Institute pursuant to this Act, no person shall use a name or symbol similar to the name of the Institute, or issue any kind of certificate that the Institute issues to anyone, or give any kind of direction to anyone on behalf of the Institute, or exercise any kind of right that the Institute is entitled to exercise.

Chapter - 3 Formation of the Council and its Powers, Duties and Functions

7.

Formation of the Council: (1) A Council shall be formed to systematically conduct the necessary programs for achieving the objectives of the Institute and to oversee and manage all the affairs of the Institute. (2) Except as otherwise provided elsewhere in this Act, the Council shall, subject to this Act or the rules and regulations made under this Act, exercise all powers and perform all duties vested in the Institute. (3) The Council shall consist of the following Council Members:- as amended by the First Amendment.(a) Ten members elected by the Chartered Accountant Members from among themselves. as amended by the First Amendment.(b) Four

members elected by the Registered Auditor Members from among themselves. (c) Three members nominated by the Government of Nepal, on the recommendation of the Auditor General, from among persons having experience in accounting. (4) The Council Members from among those mentioned in clause (a) of sub-section (3) who are Fellow Chartered Accountants (F.C.A.) shall elect the President and Vice-President. (5) The term of office of the President and Vice-President shall be one year, and after the expiry of the term, they may be re-elected for one more term. (6) The term of office of Council Members shall be three years, and after the expiry of the term, they may be re-elected or re-nominated. (7) The procedure relating to the election of Council Members shall be as prescribed. (8) The powers, duties and functions of the President and Vice-President shall be as prescribed. 8. Circumstances for Not Continuing in Office as Council Member: (1) A Council Member shall not continue in office in the following circumstances:- (a) If he/she ceases to be a member of the Institute, Provided that this provision shall not apply to nominated Council Members. (b) If the resignation tendered by the Council Member from his/her office is accepted by the Council. (c) If he/she remains absent from three consecutive meetings of the Council without giving notice to the Council along with reasons. (d) If the term of office expires. (e) If it is proved that he/she has not complied with the conduct under Section 34. (f) Upon death. (2) While tendering resignation pursuant to clause (b) of sub-section (1), the President shall tender his/her resignation to the Vice-President, and other Council Members shall tender their resignation to the President. 9.

10. Meetings and Decisions of the Council: (1) The Executive Director shall convene a meeting of the Council on the date, time and place designated by the President.

(2) Meetings of the Council shall ordinarily be held six times a year, and the interval between two meetings shall not exceed three months.

(3) The meeting of the Council shall be presided over by the President, and in his/her absence, by the Vice-President; and in the absence of both the President and Vice-President, the Council Member chosen by the Council Members from among themselves shall preside over the meeting.

(4) If twenty-five percent of the total number of Council Members submit a written request to the President stating that a meeting of the Council is necessary, the President shall, within fifteen days from the receipt of such request, direct the Executive Director to convene a meeting of the Council.

(5) If fifty percent of the total number of Council Members are present, the quorum for a meeting of the Council shall be deemed to be complete.

(6) The opinion of the majority in a meeting of the Council shall be deemed to be the decision of the Council; and in case of a tie, the person presiding over the meeting shall have a casting vote.

(7) The decision of the Council shall be certified by the Executive Director.

(8) If the Council deems necessary, it may invite any officer of the Government of Nepal or any domestic or foreign expert, consultant or distinguished person related to the accounting profession to participate in a meeting of the Council as an observer.

(9) Other procedures relating to meetings of the Council shall be as determined by the Council itself. 11.

Powers, Duties and Functions of the Council: The powers, duties and functions of the Council shall be as follows:- (a) To conduct examinations for those entering the accounting profession. (b) To determine the procedure relating to the registration of names of members of the Institute and as amended by the First Amendment. members who have obtained a Practising Certificate. (c) To grant appropriate type of membership pursuant to Section 16 to a person who meets the prescribed qualifications. (d) To make coordinated development of the accounting profession by maximizing the use of available resources and means. (e) To determine the qualifications required for skilled human resources for the development of the accounting profession. (f) To determine the curriculum and type of practical training necessary to acquire the

qualifications required for obtaining membership. (g) To conduct various teaching and training programs with the assistance of universities or other educational institutions, or by the Institute itself. as amended by the First Amendment. (h) To issue Practising Certificates to members for practicing the accounting profession. (i) To provide career development opportunities to members and enhance their competence. (j) To monitor whether members and as amended by the First Amendment. members who have obtained a Practising Certificate are working in accordance with the prescribed professional Code of Conduct. (k) To take necessary action against members and as amended by the First Amendment. members who have obtained a Practising Certificate for acts contrary to the professional Code of Conduct, based on the recommendation of the Disciplinary Committee. (l) To provide theoretical or practical instructions and guidance on various aspects of accounting and auditing, and to carry out other necessary work for professional development. as amended by the First Amendment. (m) To comply with and ensure compliance with the Accounting Standards and Auditing Standards established or recommended by the Accounting Standards Board and the Auditing Standards Board, and to regulate whether they are complied with. (n) To protect and promote the rights, interests and prestige of members. (o) To provide opinions and suggestions to the Government of Nepal for the reform of various prevailing laws related to industry, commerce, finance, revenue and the accounting profession. (p) To assume membership of the International Federation of Accountants and regional and sub-regional federations, and to establish contact with accounting professional institutes of other countries. (q) To recommend appropriate academic standards for accounting education in coordination with universities and other teaching institutions. (r) To conduct necessary training, workshops and seminars to enhance the professional competence of Registered Auditors. (s) To conduct short-term or long-term training, workshops, etc. for the welfare of in-service accounting manpower. (t) To publish materials related to the accounting profession. (u) To operate a library related to the accounting profession. (v) To determine the procedure to be followed by committees formed by the Council. (w) To approve the budget of the Institute and manage the fund. (x) To appoint necessary employees for the Institute and determine their remuneration and other facilities. added by the First Amendment. (x1) To make arrangements for continuing professional education for members. added by the First Amendment. (x2) To develop an education system for producing accounting technicians and carry out related necessary work. (y) To perform other functions as prescribed under this Act or the rules and regulations made under this Act. (z) To perform other functions necessary to fulfill the objectives of this Act.

While forming committees pursuant to sub-section (1), members of one committee (excluding the President and Vice-President) shall not also serve on another committee. 14. Disciplinary Committee: (1) If any person lodges a complaint with the Institute stating that a member deleted by the First Amendment. has done any act as amended by the First Amendment. contrary to this Act or the rules or Code of Conduct made under this Act, or if the Institute receives such information, there shall be one Disciplinary Committee as follows to investigate into the matter and recommend necessary action to the Council:-

- (a) A Fellow Chartered Accountant (F.C.A.) designated by the Council from among the Council Members mentioned in clause (a) of sub-section (3) of Section 7 - Chairperson
- (b) Three members nominated by the Council from among the Council Members - Members
- (c) Two members nominated by the Council from among the Members - Members
- (d) One member nominated by the Auditor General - Member

(2) Notwithstanding anything contained in sub-section (1), if a complaint is lodged against the Chairperson or any member of the Disciplinary Committee for an act contrary to this Act or the rules, regulations or Code of Conduct made under this Act, such Chairperson or member shall not be entitled to participate and vote in the meeting held for the purpose of investigating into the complaint and recommending necessary action to the

Council.

(3) The procedure relating to the meetings of the Disciplinary Committee and the term of office of the Chairperson and members of the Disciplinary Committee shall be as prescribed.

(4) The Disciplinary Committee shall have the same powers as a court for issuing orders against the concerned person and taking evidence and witnesses.

(5) The Disciplinary Committee shall make a recommendation to the Council along with its opinion and findings for necessary action against a member deleted by the First Amendment. found guilty upon investigation, and upon consideration of such recommendation, the Council may, according to the gravity of the offence, impose any of the following penalties on the concerned member deleted by the First Amendment. :-

(a) Warning,

(b) Removal from membership for a maximum period of five years,

(c) Prohibition from practicing the accounting profession for a specified period,

(d) as amended by the First Amendment.

Cancellation of the Practising Certificate or membership certificate.

(6) If the Disciplinary Committee investigates and submits a recommendation to the Council along with its opinion and findings to take necessary action against a Council Member for any act contrary to this Act or the rules, regulations or Code of Conduct made under this Act, such Council Member shall not be entitled to participate and vote in that meeting of the Council while the Council decides on such recommendation.

(7) Before imposing a penalty pursuant to sub-section (5), the Council shall give the concerned deleted by the First Amendment. member a reasonable opportunity to present a defense.

(8) If the concerned member deleted by the First Amendment. is not satisfied with the decision under sub-section (5), he/she may appeal to the as amended by the Some Nepal Acts Amendment Act, 2072. High Court. 15. Executive Committee: (1) For the day-to-day operation of the Institute subject to the direction of the Council, an Executive Committee shall be formed consisting of the following members:-

(a) President - Chairperson

(b) Vice-President - Vice-Chairperson

(c) Two members nominated by the Council from among the Council Members - Members

(d) Executive Director - Member Secretary

(2) The powers, duties and functions of the Executive Committee and the procedure of its meetings shall be as prescribed. Chapter-3A. Accounting Standards Board

15A. Formation of Accounting Standards Board: added by the First Amendment.(1) For the systematization and regulation of the accounting profession and financial reporting, the Government of Nepal shall form an Accounting Standards Board.

(2) The Accounting Standards Board shall consist of the following members:-

(a) One person nominated by the Government of Nepal from among Fellow Chartered Accountants - Chairperson

(b) Representative, Ministry of Finance - Member

(c) as amended by the Some Nepal Acts Amendment to Adapt to the Constitution of Nepal Act, 2074. Representative, Office of the Auditor General - Member

(d) Representative, Office of the Comptroller General - Member

(e) Registrar, Office of the Company Registrar - Member

(f) as amended by the Some Nepal Acts Amendment to Adapt to the Constitution of Nepal Act, 2074. Director General, Inland Revenue Department - Member

(g) as amended by the Some Nepal Acts Amendment to Adapt to the Constitution of Nepal Act, 2074.

Chairperson or a representative designated by him/her, Nepal Securities Board - Member (h) Five persons nominated by the Government of Nepal from among Chartered Accountants on the recommendation of the Council - Members (i) One person nominated by the Government of Nepal from among Registered Auditor Members on the recommendation of the Council - Member (3) The Accounting Standards Board may, if it deems necessary, invite relevant experts to participate in its meeting as observers. (4) The term of office of the members mentioned in clauses (a), (h) and (i) of sub-section (2) shall be three years, and after the expiry of the term, they may be re-appointed or re-nominated. (5) The procedure relating to the meetings of the Accounting Standards Board shall be as determined by the Board itself. (6) The secretariat of the Accounting Standards Board shall be located at the head office of the Institute. 15B. Powers, Duties and Functions of the Accounting Standards Board: The powers, duties and functions of the Accounting Standards Board shall be as follows:- (a) To establish Accounting Standards for systematizing and regulating the accounting profession and financial reporting, based on International Accounting Standards, among others, (b) To prepare suitable methods for the development of Accounting Standards and publish materials related to Accounting Standards, (c) To amend, improve and revise Accounting Standards, (d) To interpret Accounting Standards, (e) To perform other functions related to Accounting Standards. 15C. Circumstances for Not Continuing in Office: A member of the Accounting Standards Board shall not continue in office in any of the following circumstances:- (a) If he/she resigns, (b) If he/she remains absent from three consecutive meetings of the Accounting Standards Board without any notice, (c) If he/she is convicted by a court on a criminal charge involving moral turpitude, (d) If he/she becomes insane, (e) If he/she is adjudged insolvent for inability to pay debts, (f) Upon death, (g) In the case of a member of the Institute, if his/her name is removed from the membership register book pursuant to Section 22. Chapter-3B. Auditing Standards Board added by the First Amendment.15D.

Formation of Auditing Standards Board: (1) For the systematization and regulation of the accounting profession and auditing, the Government of Nepal shall form an Auditing Standards Board. (2) The Auditing Standards Board shall consist of the following members:- (a) One person nominated by the Government of Nepal from among Fellow Chartered Accountants - Chairperson (b) Representative, Ministry of Finance - Member as amended by the Some Nepal Acts Amendment to Adapt to the Constitution of Nepal Act, 2075.(c) Representative, Office of the Auditor General - Member (d) Three persons nominated by the Government of Nepal from among Chartered Accountants on the recommendation of the Council - Members (e) One person nominated by the Government of Nepal from among Registered Auditor Members on the recommendation of the Council - Member (3) The Auditing Standards Board may, if it deems necessary, invite relevant experts to participate in its meeting as observers. (4) The term of office of the members mentioned in clauses (a), (d) and (e) of sub-section (2) shall be three years, and after the expiry of the term, they may be re-appointed or re-nominated. (5) The procedure relating to the meetings of the Auditing Standards Board shall be as determined by the Board itself. (6) The secretariat of the Auditing Standards Board shall be located at the head office of the Institute. 15E. Powers, Duties and Functions of the Auditing Standards Board: The powers, duties and functions of the Auditing Standards Board shall be as follows:- (a) To establish Auditing Standards for systematizing and regulating the accounting profession and financial reporting, based on International Standards on Auditing, among others, (b) To prepare suitable methods for the development of Auditing Standards and publish materials related to Auditing Standards, (c) To amend, improve and revise Auditing Standards, (d) To interpret Auditing Standards, (e) To perform other functions related to Auditing Standards. 15F. Circumstances for Not Continuing in Office: A member of the Auditing Standards Board shall not continue in office in any of the following circumstances:- (a) If he/she resigns, (b) If he/she remains absent

from three consecutive meetings of the Auditing Standards Board without any notice, (c) If he/she is convicted by a court on a criminal charge involving moral turpitude, (d) If he/she becomes insane, (e) If he/she is adjudged insolvent for inability to pay debts, (f) Upon death, (g) In the case of a member of the Institute, if his/her name is removed from the membership register book pursuant to Section 22. Chapter - 4 Membership of the Institute as amended by the First Amendment.16.

Membership of the Institute: (1) The membership of the Institute shall be classified into the following categories:- (a) Chartered Accountant, and (b) Registered Auditor. (2) Subject to Section 18, a person who meets the following qualifications shall be granted membership as a Chartered Accountant:- (a) At the time of commencement of this sub-section, a person who has passed the "Ka" class Chartered Accountancy examination pursuant to the Auditor Related Act, 2031 and obtained the "Kha" class Registered Auditor certificate. (b) A person who has passed the Chartered Accountancy or equivalent examination from the Institute or a foreign accounting professional institute recognized by the Institute and has obtained professional training related to the accounting profession. (3) Subject to Section 16, a person who, at the time of commencement of this sub-section, holds an auditor certificate of "Kha", "Ga" or "Gha" class pursuant to the Auditor Related Act, 2031 shall be granted membership as a Registered Auditor. as amended by the First Amendment.17. Fellow Chartered Accountant (F.C.A.): The following members may be granted membership as a Fellow Chartered Accountant, as prescribed:- (a) A person who, at the time of commencement of this Section, holds a "Ka" class Registered Auditor certificate pursuant to the Auditor Related Act, 2031, (b) A Chartered Accountant member who has been engaged in the accounting profession for at least five years. 18. Disqualification for Membership Registration: The following persons shall not be considered qualified for registration as a member of the Institute:- (a) A person who does not possess the qualifications under sub-sections (2) and (3) of Section 16, (b) A person who has not completed the age of twenty-one years, (c) deleted by the First Amendment. (d) A person who is adjudged insolvent for inability to pay debts, (e) A person who has been sentenced by a court on a criminal charge involving moral turpitude, (f) A person who is insane. 19.

Registration of Name Required: (1) A person who has attained the qualifications pursuant to this Act and desires to become a member of the Institute shall submit an application to the Institute in the prescribed format stating the prescribed details. (2) For registration of name to obtain membership of the Institute pursuant to sub-section (1), the prescribed fee must be paid. as amended by the First Amendment.(3) A person qualified to obtain membership pursuant to sub-section (3) of Section 16 who desires to register his/her name in the membership of the Institute shall submit an application to the Institute within six months from the date of commencement of Sections 29 and 49 of this Act as notified by the Government of Nepal in the Nepal Gazette. A person who fails to submit an application for membership within that period shall not be entitled to membership under this Act. 20. Membership Registration Certificate: (1) If a person applying pursuant to sub-section (1) of Section 19 is found eligible for registration as a member of the Institute, the Council shall register the name of such person in the membership of the Institute and issue a membership registration certificate in the prescribed format specifying the type of member. (2) The Institute shall maintain separate membership register books as prescribed according to the category of membership. (3) Other arrangements relating to the registration of membership of the Institute shall be as prescribed. 21. Notice Required in Case of Leaving Practice or Change of Address: If a member leaves his/her practice or changes his/her address, he/she must notify the Institute within thirty-five days of leaving the practice or changing the address. 22. Provisions for Removal and Re-registration of Name: (1) The Council may order the removal of a member's name from the membership register book in any of the following circumstances:- (a) If he/she is convicted by a court on a criminal charge involving moral turpitude, (b) If he/she fails to pay the fee payable

to the Institute, (c) If he/she fails to comply with the professional conduct as per this Act and the rules made under this Act, (d) If he/she becomes insane, or (e) Upon death. (2) If a person whose name has been removed from membership pursuant to sub-section (1) submits an application showing reasonable cause for re-obtaining membership, the Council may, upon levying the prescribed fee, decide to re-register his/her name and grant membership. 23.

Cancellation of Certificate: If it comes to the notice of the Council and upon investigation it is found true that a person's name was registered in the membership of the Institute by fraud or mistake, the Council may cancel such person's membership registration certificate and, if he/she has obtained a Practising Certificate, also cancel that, and notice thereof must be published in newspapers. Chapter - 5 Provisions Relating to Examinations 24. Arrangements for Curriculum and Textbooks: (1) The Council may determine the educational level, curriculum and textbooks required for an accounting professional added by the First Amendment. or an accounting technician, and conduct examinations. (2) While making arrangements for examinations under sub-section (1), the Council may, if it deems necessary, also take advice and assistance from universities within Nepal deleted by the Republic Strengthening and Some Nepal Laws Amendment Act, 2066. and accounting professional associations, institutes or experts of other countries. (3) The Council may conduct the examinations under sub-section (1) by itself or with the assistance of domestic or foreign universities or other institutions. (4) The qualifications required for appearing in the examination relating to an accounting professional added by the First Amendment. or an accounting technician shall be as prescribed. (5) Other arrangements relating to the conduct of examinations shall be as prescribed. (6) Arrangements relating to study and teaching conducted by the Institute under this Chapter shall be as prescribed. 25. Issuance of Certificate: The Council shall issue a certificate as prescribed to a person who has passed an examination taken under this Chapter. Chapter - 6 Recognition of Academic Qualifications 26. Recognition by the Council: as amended by the First Amendment.(1) A person who has passed the Chartered Accountancy or equivalent examination and obtained training from a foreign accounting professional institute shall submit an application to the Institute in the prescribed manner for recognition of such examination and training. Upon receipt of such application for recognition, the Council shall decide whether to recognize such examination and training. (2) If the Council determines that the applicant must fulfill any condition before granting recognition of the examination as amended by the First Amendment. and training under sub-section (1), such condition shall also be specified. (3) If it is specified that a condition must be fulfilled under sub-section (2), an application for membership of the Institute under this Act may only be submitted after such condition is fulfilled. 27.

Recognition of Foreign Accounting Professional Institute: as amended by the First Amendment.(1) The Council may, with the prior approval of the Government of Nepal, recognize foreign accounting professional institutes and the examinations taken and training provided by such institutes. (2) The Council shall maintain a list of institutes recognized under sub-section (1). An examination taken and training provided by an institute included in such list shall not require completion of the procedure under Section 19 regarding its recognition. Chapter - 7 as amended by the First Amendment.Practising Certificate 28. Practising Certificate: as amended by the First Amendment.(1) A member desiring to provide audit services shall submit an application to the Institute in the prescribed format to obtain a Practising Certificate. (2) After a member applying under sub-section (1) fulfills the prescribed conditions, the Council shall issue a Practising Certificate in the prescribed format to such member. (3) The Council may determine conditions for members who have obtained a Practising Certificate, require compliance with such conditions, and make and enforce a Code of Conduct for such members. 28A. Registration of Accounting Professional Firm Required: added by the First Amendment.(1) A member who has obtained a Practising Certificate and desires to operate audit services

under the name of an accounting professional firm shall submit an application to the Institute in the prescribed format to register such firm. (2) The procedure relating to the registration of an accounting professional firm shall be as prescribed. (3) After the procedure under sub-section (2) is completed, the Council shall issue a certificate of registration of the accounting professional firm in the prescribed format. 29. Not Allowed to Provide Audit Services: as amended by the First Amendment.No person shall provide audit services without obtaining a Practising Certificate. Provided that this Section shall not be deemed to prevent the Government of Nepal from making separate arrangements and regulating audits, other than audits of companies or commercial entities established under the Companies Act. 30. Special Provisions Relating to Registered Auditors: as amended by the First Amendment.Notwithstanding anything contained elsewhere in this Act, the Council shall, subject to this Act and the rules and regulations made under this Act, classify and issue Practising Certificates as prescribed to the Registered Auditors existing at the time of commencement of this Section to provide audit services under this Act. Provided that such Registered Auditors shall not be deprived of the facilities they have been receiving under the Auditor Related Act, 2031. 30A.

Limit for Conducting Audit: added by the First Amendment.The limit for conducting an audit by a member who has obtained a Practising Certificate and is classified under Section 30 shall be as prescribed by the Council with the approval of the Government of Nepal. 30B. Class of Practising Certificate May Be Upgraded: added by the First Amendment.The class of the Practising Certificate obtained by a Registered Auditor under Section 30 may be upgraded by following the procedure as prescribed by the Council. 31. Matters to be Mentioned in Report: as amended by the First Amendment.A member who has obtained a Practising Certificate shall mention the prescribed matters in the report of the audit conducted by him/her. 32. Publication of List: The Institute shall publish a list of members and as amended by the First Amendment. members who have obtained a Practising Certificate every year within three months of the end of the fiscal year. 33. Fee to be Paid: as amended by the First Amendment.Members, members who have obtained a Practising Certificate, and accounting professional firms registered under Section 28A shall pay the prescribed fee to the Institute. Chapter - 8 Conduct 34. Conduct to be Observed: (1) A member and as amended by the First Amendment. a member who has obtained a Practising Certificate shall fully comply with this Act or the rules made under this Act. (2) A member who has obtained a Practising Certificate of his/her class as amended by the First Amendment. shall not, in partnership or any other manner with a person who has not obtained a certificate, perform audit work. (3) No member shall share in any manner in an audit fee or remuneration received or earned by him/her with any person (2) Notwithstanding anything contained in subsection (1), in the absence of the formation of the Council pursuant to section 7, the Ad-hoc Council formed pursuant to section 42 may make necessary rules for the purpose of issuing the certificate of membership registration of the institution and conducting the election of councilors. (3) The rules made pursuant to subsections (1) and (2) shall come into effect only after being approved by the Government of Nepal. (4) After the rules made by the Council pursuant to subsection (1) come into effect, the rules made by the Ad-hoc Council pursuant to subsection (2) shall automatically become void. 48. Power to make regulations: The Council may make regulations, subject to this Act and the rules made under this Act, for the day-to-day operation of the institution. 49.